

Zambia

Transfer Pricing Country Profile¹

October 2025

		SUMMARY	REFERENCE
The Arm's Length Principle			
1	Does your domestic transfer pricing framework ² make reference to the arm's length principle?	☒ Yes ☐ No	Section 97A of Income Tax Act Chapter 323 of the Laws of Zambia
2	Does your domestic transfer pricing framework give the OECD Transfer Pricing Guidelines any role or status (e.g. legal binding effect, subsidiary application in the absence of domestic legislation, source of interpretation of domestic legislation and/or treaty provisions, other)?	☒ Yes ☐ No The domestic transfer pricing legislation is construed in a manner consistent with the OECD guidelines. However, where inconsistencies between the guidelines and domestic legislation exist, domestic legislation shall prevail.	Regulation 20 of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2018
3	Does your domestic transfer pricing framework provide for a definition of related parties applicable for transfer pricing purposes? If so, please provide	☒ Yes ☐ No “Related or associated persons” include:	Section 97A of Income Tax Act Chapter 323 of the Laws of Zambia

¹ Information in transfer pricing country profiles is provided directly by jurisdictions. By publishing the transfer pricing country profiles on the OECD website, the OECD does not certify the accurateness of the information provided therein. Importantly, transfer pricing country profiles published on the OECD website are made available to stakeholders for information purposes only, and are not intended to be used in substitution to a jurisdiction's legal instruments, jurisprudence, or administrative guidance or practice nor relied on as an accurate and complete description of domestic law.

² For purposes of transfer pricing country profiles, the term “domestic transfer pricing framework” refers to a jurisdiction's domestic legislation, regulations, administrative guidance or practice, jurisprudence or governing general principles in the jurisdiction.

	the definition contained under your domestic transfer pricing framework.	a) parties connected directly or indirectly through shareholding, equity or partnerships; b) any joint venture owned or operated jointly with an unrelated party; c) connected persons; d) parties connected through management control and capital; or e) Any existing arrangements, whether in writing or not, that benefit two or more entities whose conditions are deemed not to be at arm's length;													
Transfer Pricing Methods															
4	Does your domestic transfer pricing framework provide for transfer pricing methods to be used in respect of transactions between related parties?	☒ Yes ☐ No If affirmative, please check those provided for in your legislation: <table border="1" style="margin-top: 10px;"> <thead> <tr> <th>CUP</th><th>Resale Price</th><th>Cost Plus</th><th>TNMM</th><th>Profit Split</th><th>Other (If so, please describe)</th></tr> </thead> <tbody> <tr> <td style="text-align: center;">☒</td><td style="text-align: center;">☒</td><td style="text-align: center;">☒</td><td style="text-align: center;">☒</td><td style="text-align: center;">☒</td><td style="text-align: center;">☒</td></tr> </tbody> </table> Application of a method other than the five prescribed method requires approval from the Commissioner General pursuant to provisions of Regulation 13 sub-regulation 3 of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2018.	CUP	Resale Price	Cost Plus	TNMM	Profit Split	Other (If so, please describe)	☒	☒	☒	☒	☒	☒	Regulation 13 of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2018
CUP	Resale Price	Cost Plus	TNMM	Profit Split	Other (If so, please describe)										
☒	☒	☒	☒	☒	☒										
5	Which criterion is provided for in your domestic transfer pricing framework for the application of transfer pricing methods?	Please check all that apply: ☐ Hierarchy of methods ☒ Most appropriate method ☐ Other (if so, please explain)	Regulation 12 sub-regulation 2 of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2018.												
6	Does your domestic transfer pricing framework contain specific guidance on commodity transactions?	☒ Yes ☐ For controlled transactions involving commodities, the guidance contained in paragraphs 2.18-2.22 of the TPG is followed. ☒ Domestic transfer pricing framework provides for the use of a specific method for controlled transactions involving commodities (if so, please explain) ☐ No	Section 97A of Income Tax Act Chapter 323 of the Laws of Zambia												

		For the sale of precious and base metals between related parties, the price to use is the reference price. The reference price in this case means; a) the monthly average London Metal Exchange cash price; b) the monthly average Fast markets MB cash price to the extent that the base metal or precious metal prices are not quoted on the London Metal Exchange; c) the monthly average cash price of any other metal exchange market as approved by the Commissioner-General to the extent that the base metal price or precious metal price is not quoted on the London Metal Exchange or Fast markets MB.	
Comparability Analysis			
7	Does your jurisdiction follow (or largely follow) the guidance on comparability analysis outlined in Chapter III of the TPG?	☒ Yes ☐ No	Regulation 11 of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2018.
8	Is there a preference in your jurisdiction for domestic comparables over foreign comparables?	☐ Yes ☒ No	Regulation 11 of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2018.
9	Does your domestic transfer pricing framework permit the use of secret comparables for transfer pricing assessment purposes?	☐ Yes ☒ No The choice of the comparables should be consistent with the OECD Guidelines.	Regulation 20 of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2018
10	Does your domestic transfer pricing framework allow or require the use of an arm's length range and/or statistical measure (e.g. the interquartile range or other percentiles) for determining arm's length remuneration?	☒ Yes ☐ No	Regulation 16 of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2018

11	Are comparability adjustments required under your domestic transfer pricing framework?	☒ Yes ☐ No	Sub-regulation 1b of Regulation 11 of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2018
Intangible Property			
12	Does your domestic transfer pricing framework contain guidance specific to the pricing of controlled transactions involving intangibles?	☒ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter VI of the TPG? ☒ Yes ☐ No (please provide further explanations below) ☐ No	Regulation 18 of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2018
13	Are there any other rules outside your transfer pricing framework that are relevant for the pricing of controlled transactions involving intangibles?	☐ Yes ☒ No	
Hard-to-Value Intangibles³			
14	Does your domestic transfer pricing framework contain guidance specific to hard-to-value intangibles (HTVI)?⁴	☐ Yes. If so, does your domestic transfer pricing framework follow the guidance on HTVI in Chapter VI of the TPG? ☐ Yes ☐ No (please provide further explanations below) ☒ No	
15	If your jurisdiction applies the HTVI approach, what are the conditions for the application of the HTVI approach?	N/A	

³ Please note that questions in this section are imported from the HTVI questionnaire and integrated into this TPCP to centralise all jurisdiction-related transfer pricing information.

⁴ In the case of jurisdictions that do not apply the HTVI approach (i.e. they responded “no” to question 14), it is not necessary to respond to the remaining questions in the HTVI section and these questions will not be published as part of jurisdiction’s transfer pricing country profile.

16	Are transactions falling within the scope of the HTVI approach subject to a transfer pricing analysis different from the one established in Chapters I and VI, or to other compliance requirements specifically applicable to transfer prices (e.g. domestic anti-abuse rules)?	The transfer pricing analysis will be the same whether or not the intangible is hard-to-value.	
17	What is the statute of limitations applicable to transactions falling within the scope of the HTVI approach in your domestic transfer pricing framework? Does this statute of limitations differ from those applicable to other transactions?	10 years. It does not differ from the statute of limitations on other applicable transactions.	Sub-section 3(b)(i) of Section 65 of Income Tax Act Chapter 323 of the Laws of Zambia
18	Can taxpayers request a bilateral or multilateral advance pricing agreement (“APA”) for transactions falling within the scope of the HTVI approach under your domestic transfer pricing framework?	☐ Yes ☒ No	
19	What measures exist or approaches have been adopted to avoid the use of hindsight (e.g. training of tax administrators, internal circulars/informative notes)?	Training of tax administrators.	
20	Is it possible for your tax administration to make adjustments under the HTVI approach in open years amounts pertaining to closed years?	☐ Yes ☒ No	
		Zambia does not make a distinction between HTVI and “ordinary” intangibles.	
21	Does your domestic transfer pricing framework allow the tax administration to make corresponding adjustments under the HTVI approach in open years for amounts pertaining to closed years?	☐ Yes ☒ No	

22	Is it possible for your tax administration to make several adjustments for one single HTVI transaction under the HTVI approach?	☐ Yes ☒ No	
Intra-group Services			
23	Does your domestic transfer pricing framework provide guidance specific to intra-group services transactions?	☒ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter VII of the TPG? ☒ Yes ☐ No (please provide further explanations below) ☐ No	Regulation 17 of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2018
24	Does your domestic transfer pricing framework provide for or allow the application of a simplified approach for low value-adding intra-group services?	☒ Yes. If so, does it follow (largely follow) the low value-adding services approach in Chapter VII? ☒ Yes ☐ No (please provide further explanations below) ☐ No	Regulation 17 of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2018
25	Are there any other rules outside your transfer pricing framework for pricing intragroup services?	☐ Yes ☒ No	
Financial Transactions			
26	Does your domestic transfer pricing framework provide guidance specific to financial transactions?	☐ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter X of the TPG? ☐ Yes ☐ No (please provide further explanations below) ☒ No	
		Zambia follows the OECD Guidelines on financial transactions.	

27	Are there any other rules outside your transfer pricing framework that are relevant for the tax treatment of financial transactions? <i>(e.g. whether your jurisdiction has implemented the measures in BEPS Action 4 to limit interest deductions and other financial payments or any similar rules)</i>	☒ Yes ☐ No Domestic legislation has in place an interest limitation rule which provides that the interest expense shall not exceed 30% of tax EBITDA.	Section 29 (1B) of the Income Tax Act Chapter 323 of the Laws of Zambia
Cost Contribution Arrangements			
28	Does your jurisdiction allow cost contribution arrangements?	☐ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter VIII of the TPG? ☐ Yes ☐ No (please provide further explanations below) ☒ No	
Transfer Pricing Documentation			
29	Does your domestic transfer pricing framework require the taxpayer to prepare transfer pricing documentation?	☒ Yes ☐ No <i>If affirmative, please check all that apply:</i> ☒ Master file consistent with Annex I to Chapter V of the TPG ☒ Local file consistent with Annex II to Chapter V of the TPG ☒ Country-by-country report consistent with Annex III to Chapter V of the TPG ☐ Specific transfer pricing returns (separate or annexed to the tax return) ☒ Other (specify): A section of the income tax return provides for inclusion of details of related party transactions.	Regulations 21, 22 and 22A of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2018.

30	Please briefly explain the relevant requirements related to each transfer pricing documentation requirement (i.e. timing for preparation or submission, languages, etc.)	Local file & Master file The local file and master file should be prepared by the due date of the taxpayer filing their income tax return but should not accompany the return. However, submission shall be made within thirty days of issuance of a written request by the Commissioner General. The transfer pricing documentation should be submitted in the English language. CbCR A constituent entity of a multinational enterprise group that is resident for tax purposes in the Republic shall notify the Commissioner-General whether it is the ultimate parent entity or the surrogate parent entity, no later than the last day of the reporting accounting year of the multinational enterprise group. The constituent entity that is resident for tax purposes in Zambia shall notify the Commissioner-General about the identity of the ultimate parent entity or surrogate parent entity no later than the last day of the reporting accounting year of the multinational enterprise group. A country-by-country report shall be filed no later than twelve months after the last day of the reporting accounting year of the multinational enterprise group.	Timing of Preparation Sub-regulation 3 of Regulation 22 of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2018 Submission Sub-regulation 2 of Regulation 23 of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2018 Language (English) Sub-regulation 3 of Regulation 23 of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2018 CbCR Sub-regulations 8, 9 and 10 of Regulation 22A of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2020
31	Does your domestic transfer pricing framework provide for specific transfer pricing penalties and/or compliance incentives regarding transfer pricing documentation?	☒ Yes ☐ No The Income Tax Act prescribes penalties for non-compliance to the preparation and maintenance of transfer pricing documentation but does not provide for incentives for compliance. Section 97C(7) of the Income Tax Act prescribes a penalty of eighty million penalty units for failure to comply with the requirements for preparing and maintaining transfer pricing documentation. Currently, a penalty unit is equal to ZMW 0.40 (40 ngwee).	Section 97C of the Income Tax Act Chapter 323 of the Laws of Zambia
32	Does your domestic transfer pricing framework provide for exemption from transfer pricing documentation obligations?	☒ Yes ☐ No The threshold for transfer pricing documentation preparation and maintenance is an annual turnover of 50 million Zambian Kwacha. This threshold only applies to local groups whereas multinational companies need to prepare TP documentation regardless of their turnover.	Sub-regulation 2 of Regulation 21 of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2020

Administrative Approaches to Avoiding and Resolving Disputes

33	Which mechanisms are available in your jurisdiction to prevent and/or resolve transfer pricing disputes?	Please check those that apply: ☐ Rulings ☐ Enhanced engagement or cooperative compliance programmes ☐ Advance Pricing Agreements (APA) ☐ Unilateral APAs ☐ Bilateral APAs ☐ Multilateral APAs ☐ International Compliance Assurance Programme (ICAP) ☒ Mutual Agreement Procedures ☐ Other (<i>please specify</i>): Please see information available on Zambia's OECD MAP Profile.	Section 74(1)(b) of the Income Tax Act Chapter 323 of the Laws of Zambia Zambia's MAP Profile
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Simplified and Streamlined Approach for Baseline Marketing and Distribution Activities

34	Does your domestic transfer pricing framework allow the application of the simplified and streamlined approach for baseline marketing and distribution activities in the relevant Annex of Chapter IV of the TPG?	☐ Yes ☒ No ☐ Other (please elaborate) Zambia is yet to review the domestic transfer pricing framework to take into account the simplified and streamlined approach.	
35	If your domestic transfer pricing framework allows the application of the simplified and streamlined approach, how is it implemented?	☐ In-scope tested parties resident within the jurisdiction can elect to apply the simplified and streamlined approach (i.e. safe harbour) ☐ In-scope tested parties resident within the jurisdiction are required to follow the simplified and streamlined approach for in-scope qualified transactions and tax administrations are allowed to impose the application of the simplified and streamlined approach to in-scope qualified transactions of tested parties resident within their jurisdiction (i.e. rule) ☒ N/A	

36	If your domestic transfer pricing framework allows the application of the simplified and streamlined approach, what is the operating expense to sales (OES) upper bound chosen by your jurisdiction regarding scoping criterion 13.b?	☐ 20% ☐ 30% ☒ Other (please specify) ☐ N/A Awaiting assessment results.	
37	Does your jurisdiction respect the outcome of the application of the simplified and streamlined approach by a covered jurisdiction in line with the Inclusive Framework political commitment?	☒ Yes ☐ No	
38	If your domestic transfer pricing framework allows the application of the simplified and streamlined approach for resident in-scope tested parties, does your jurisdiction respect the outcome of the application of such approach by another jurisdiction that is not a covered jurisdiction?	☐ Yes ☒ No	
Safe Harbours and Other Simplification Measures			
39	Does your jurisdiction provide for any safe harbours or other simplification measures in respect of certain industries, types of taxpayers, or types of transactions (not listed in other sections of this questionnaire)?	☐ Yes ☒ No Zambia follows the guidance on low value-adding intra-group services (see answer to question 24).	Regulation 17 of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2018
Other Legislative Aspects or Administrative Procedures			
40	Does your domestic transfer pricing framework allow downward corresponding adjustments in the	☒ Yes ☐ No	Section 97A of the Zambian Income Tax Act

	absence of a mutual agreement procedure (e.g. unilateral corresponding adjustments)?	A claim for an adjustment can be made under Section 97A of the Zambian Income Tax Act.	
41	Does your domestic transfer pricing framework allow or require taxpayers to make year-end adjustments?	☐ Yes. Year-end adjustments are required. ☒ Yes. Year-end adjustments are allowed. ☐ No	
		Taxpayers are allowed to amend returns after filing original returns which may have had errors.	
42	Does your domestic transfer pricing framework provide for secondary adjustments?	☐ Yes ☒ No	Regulation 20 of the Income Tax (Transfer Pricing) (Amendment) Regulations, 2018
Attribution of Profits to Permanent Establishments			
43	Which version of Article 7 of the OECD Model Tax Convention on Income and on Capital do your tax treaties contain?	☒ Article 7 as it read before 2010. ☐ If so, please indicate in how many treaties: 5 Treaties: China, Finland, Germany, Ireland and Japan ☐ Article 7 as it reads after 2010. ☐ If so, please indicate in how many treaties: ☒ Other (please provide additional details)	
		Zambia has 23 tax treaties in force. Out of the 23 tax treaties, 5 treaties have adopted the old version the OECD Model (pre-2010) as described above, and the remaining 18 treaties provide a balance between the OECD and the UN Models, adopting different paragraphs of both models.	
44	For tax treaties containing Article 7 as it read before 2010, does your jurisdiction apply the authorized OECD approach (AOA)?	☒ Yes ☐ No (please explain the approach used and which tax treaties are concerned)	

45	Does your domestic transfer pricing framework contain specific guidance for the attribution of profits to permanent establishments of non-resident entities? If so, please provide a summary of the main features of this guidance.	☐ Yes, they follow the AOA as described in the 2008 Report on the Attribution of Profits to Permanent Establishments ☐ Yes, they follow the AOA as described in the 2010 Report on the Attribution of Profits to Permanent Establishments ☐ Yes, they do not follow the AOA (please provide a summary of the main features of these rules) ☒ No	
		There is no specific guidance for the attribution of profits to PEs, Zambia follows the same treatment of resident entities.	
Other Relevant Information			
46	Other legislative aspects or administrative procedures regarding transfer pricing	N/A	
47	Other relevant information (e.g. <i>whether your jurisdiction is preparing new transfer pricing regulations, or other relevant aspects not addressed in this questionnaire</i>)	N/A	

For more information, please visit: <https://www.oecd.org/en/topics/sub-issues/transfer-pricing/transfer-pricing-country-profiles.html>